

MARKET SEGMENTATION BY PROFIT STATUS: EVIDENCE FROM HOSPICE

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Abstract. How do referral networks and medical conditions determine where patients get care? We study this question in the U.S. hospice industry, where for-profit hospice programs enroll more long-term care patients and more patients with Alzheimer’s disease and related dementia. We find that for-profit hospice enrollees have 23% longer lifetime lengths-of-stay in hospice care than not for-profit hospice enrollees with the same medical conditions, institutional referral source, state of residence, and enrollment year. This and other differences in their end-of-life health care utilization suggest that hospice market segmentation is the result of a patient-specific selection mechanism that is partially independent of institutional barriers to hospice care.

Keywords: Market segmentation, hospice, referral networks, Alzheimer’s disease and related dementia

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